

conomic zones (SEZs) to drastically cut down the delivery time of spares to the armed forces. It also suggests that India become a regional hub for selling arms' spares to neighbouring countries friendly to both the nations. A similar arrangement already exists albeit on a smaller scale in Mumbai where Rosoboronservice, a joint Indo-Russian firm, stocks spares and services naval systems including warships, helicopters and submarines.

The new proposal, first spelt out in a letter from Sergey Chemezov, director general, Rosoboronexport, to Antony in September was made part of the Indo-Russian joint protocol during Antony's Moscow visit. It also figured in discussions during Manmohan's recent visit and is being deliberated upon by the Ministry of Defence (MOD).

Poor after-sales service and product support are the single biggest irritants in defence ties between the two nations. "This proposal is the most radical initiative from Russia to alleviate this problem," says a defence official. Nearly two-thirds of Indian military equipment—tanks, warships and fighter jets are of Russian origin. The situation has considerably improved since the 1991 breakup of the Soviet Union when the Indian military was hobbled for lack of spares manufactured by factories located in CIS countries. However, the supply of Russian spares, on which India spends Rs 1,000 crore each year, is still sluggish. It takes the armed forces nearly one year to source major spare parts which means that aircraft, warships and submarines remain unused during this period. This also means that against a desirable availability of 95 per cent, Indian fighting platforms of Russian origin have an availability of only around 60 per cent.

The main beneficiaries of the Russian offer will be the equipment-intensive air force and navy. "The logistics chain will become shorter and the downtime on equipment unavailable due to lack of spares will be markedly reduced," says Air Marshal Padamjit Singh Ahluwalia, Air Officer Commanding-in-Chief,

MAJOR IRRITANTS



AIRCRAFT CARRIER: The 44,000 tonne *Vikramaditya*, purchased in 2004, was to be delivered by 2008 but is now expected only by 2010-2011



NUCLEAR SUBMARINE: An under-construction Akula-II nuclear-powered attack submarine to be delivered on lease in June 2007 is delayed till 2008

Western Air Command.

Some of the delays in acquiring spares are attributed to red tape within MOD. India follows the same procedure to buy spares, that it does for major weapon systems, of inviting enquiries from global firms—a process that can take up to two years. "If we are looking at a short, sharp conflict in the future, then it makes eminent sense to start stocking spares," says Brigadier (retired) Gurmeet Kanwal of the Centre for Land Warfare Studies.

MOD is still studying the Russian proposal, primarily because of the heavy financial commitment involved. The armed forces spend over 56 per cent of the Rs 96,000 crore defence budget on salaries and spares under the revenue budget, and the remainder on buying new equipment under the capital budget. Buying spares in bulk would mean paying for them up front which is good because it prevents the pitfalls of price escalation. However, the funds for such a large payment will have to come out of the already-meagre capital budget.

Russia's overtures to India have been guided by the desire to protect its lucrative market from upcoming competitors like Israel, and more recently, the US. It remains to be seen how quickly India responds to alleviate its crippling shortage of spare parts. ■

**Joint ventures
for future fighter
and transport
aircraft add to
buys worth
Rs 80,000 crore
until 2012.**



**Manmohan
and Putin**